

3 BIG-TICKET REFORMS ON LAND AND LABOUR MAY NOT TAKE PLACE IMMEDIATELY

4 SPECIAL PACKAGES FOR ANDHRA PRADESH AND BIHAR LIKELY

5 UNION BUDGET 2024-25 TO GIVE POINTERS ON KEY PRIORITIES, NEW ROAD MAP

Ratings, underlining that coalition governments are not bad news for economic policymaking.

He, however, cautions that the Modi 3.0 government may work on reforms at the margin but big-ticket ones relating to land and labour may not go through. “It is unlikely that they will have enough support for carrying out such major reforms,” he says.

This view is shared by most policy watchers and experts, who believe that the fast and decisive pace of reforms, which was a hallmark of the first two terms under Prime Minister Modi, may slow down as the NDA government will have to discuss many issues and accommodate the priorities of its two largest allies—the N. Chandrababu Naidu-led Telugu Desam Party (TDP) and the Nitish Kumar-led Janata Dal (United) or JD(U).

“Coalition partners will gain influence and leverage in policy decisions, allowing for a more inclusive approach to governance... the BJP will need to use the tools of negotiation and compromise to maintain a cohesive government. This will likely slow decision-making and potentially dilute some of the party’s key policy initiatives,” Aditi Raman, Associate Economist at Moody’s Analytics, writes in a note.

Government officials, who have worked behind the scenes during the Model Code of Conduct to prepare the 100-day agenda for administrative ministries, are on wait-and-watch mode and believe that at least some of the reform plans would continue unhindered.

There is a general consensus, how-



“UNEMPLOYMENT CANNOT GO AWAY AT ONE GO AND WILL TAKE TIME. A LOT NEEDS TO BE DONE, INCLUDING LABOUR REFORMS... SKILLING AND EDUCATION ALSO HAVE TO BE IMPROVED”

M. GOVINDA RAO
EMERITUS PROFESSOR, NIPFP; CHIEF ECONOMIC ADVISOR, BRICKWORK RATINGS; AND MEMBER, 14TH FINANCE COMMISSION

ever, that Modinomics 3.0 will have broad policy continuity and will continue to prioritise segments such as capital expenditure and infrastructure development, boosting investments in manufacturing, fiscal consolidation, as well as measures to improve the ease of doing business, that is expected to help sustain the revival in private investments. This is evident from the BJP retaining many of the key Cabinet portfolios despite having 72 ministers in the Council of Ministers. Nirmala Sitharaman taking charge as Finance Minister is also seen as a sign of continuity and she will present her seventh Union Budget in a matter of weeks.

“The focus of the new government will continue to be on growth, employment and welfare measures. We expect sustaining the growth momentum to be the top agenda for the government and the focus will be not only on public sector capital expenditure-driven investments, but also on boosting private sector investments through measures such as PLI,” says Suman Chowdhury, Chief Economist and Head of Research at Acuité Ratings & Research.